## a. Balance of Payment (BoP)

High price reduces the amount of export and increases import from other countries where goods are available at cheaper rate. It results in unfavourable balance of payment.

## b. Exchange Rate

High import and low export means high demand for foreign currencies compared to domestic currency. This depreciates domestic currency.

## c. Social and Political

Higher rate of inflation leads to social and political tension. The political parties and organised group of people call for strike, hartals and stage dharnas.

## Measures to Control Inflation

The control of inflation needs a multi-pronged strategy. All the strategies need cooperation and harmony among them.

## 1. Monetary Measures

## a. Credit Control

Credit control method is used by RBI to control inflation. It is discussed in detail in the chapter 5 named Indian Financial System- Money Market. RBI used Wholesale Price Index based inflation as a benchmark to control inflation. But now based on Urjit Patel Committee recommendation, RBI shifted targeting to newly introduced CPI (Combined). The reason is that the CPI (combined) measures the inflation in the consumer market. So it reflects the true and correct cost of